

Product, Services, and Brands

Chapter: 8

What is a Product?

Whatever is offered for “sale” in a marketing exchange

Can be tangible goods (Laptop), services (VU education), ideas (Don't smoke), places (Muree hills), persons (sportsman).

Definitions

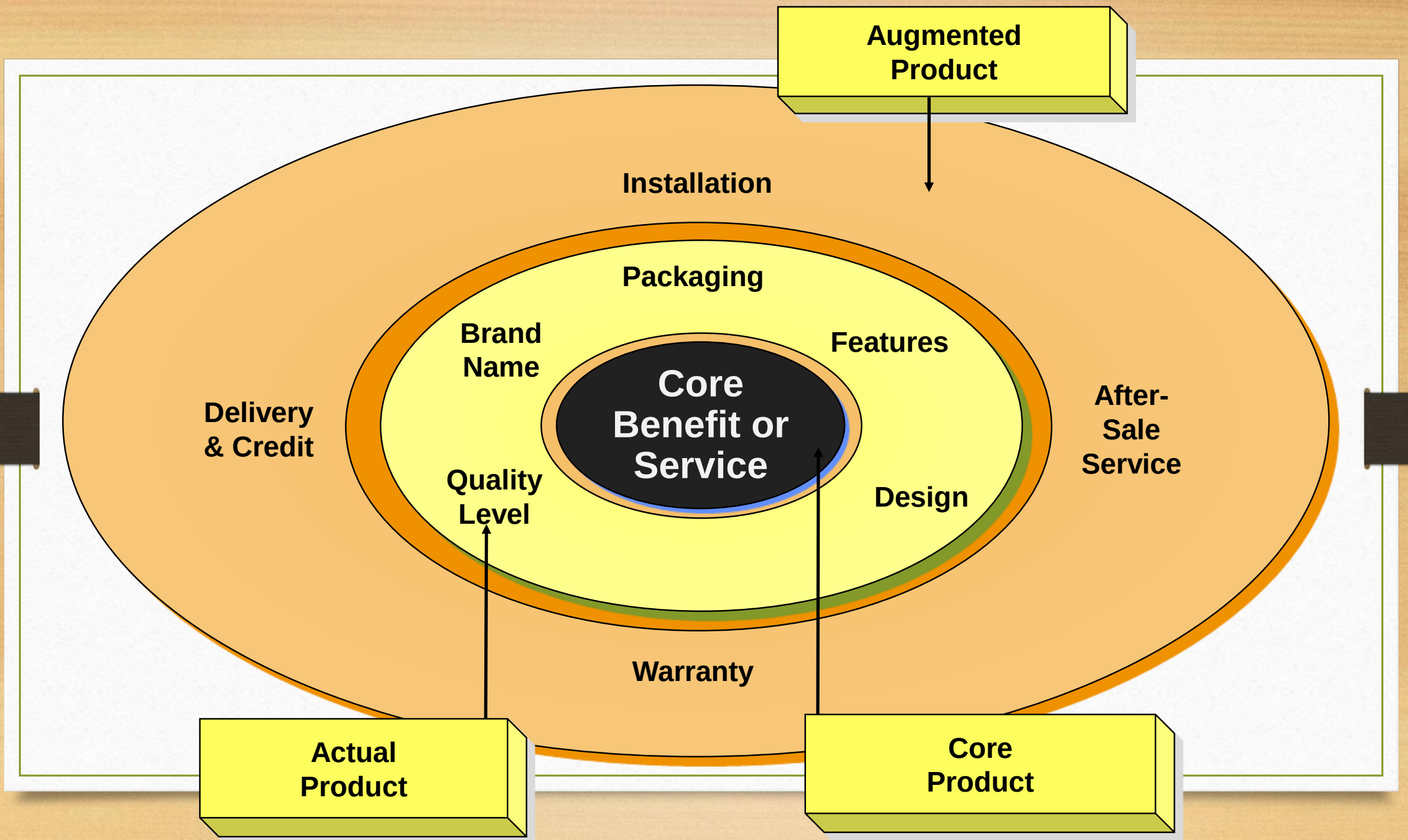
Product

- Anything offered to a market for attention, acquisition, use, or consumption that might satisfy a need or want.

Service

- Any activity or benefit that one party can offer to another that is essentially intangible and does not result in ownership of anything.

Levels of Products



Product Classifications

Consumer
products

Industrial
products

Product Classifications

Consumer Products

- Consumer products are products and services for personal consumption
- Classified by how consumers buy them
 - Convenience products
 - Shopping products
 - Specialty products
 - Unsought products

Product Classifications

Consumer Products

Convenience products are consumer products and services that the customer usually **buys frequently, immediately**, and with a **minimum comparison and buying effort**

- Low price
- Widespread distribution
- Mass promotion by producer

E.g:

- Newspapers
- Candy
- Fast food

Product Classifications

Consumer Products

Shopping products are consumer products and services that the customer **compares carefully** on **suitability, quality, price, and style**

- *less frequent purchases
- *higher price
- *selective distribution in fewer outlets
- *advertising & personal selling by both producer and resellers
- Furniture
- Clothing
- Major Appliances

Product Classifications

Consumer Products

Specialty products are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort

- *strong brand preference and loyalty
 - *little comparison of brands
 - *high price
 - *exclusive distribution
 - *more carefully targeted promotion by producers and resellers
- Luxury goods
 - Designer clothes
 - High-end electronics

Product Classifications

Consumer Products

Unsought products are consumer products that the consumer does not know about or knows about but does not normally think of buying

- *little product awareness

- *price varies

- *distribution varies

- *aggressive advertising & personal selling by producer & reseller

- Life insurance
- Funeral services
- Blood donations

Product Classifications

Industrial Products

Industrial products are products purchased for further processing or for use in conducting a business

- Classified by the purpose for which the product is purchased
 - Materials and parts
 - Capital items
 - Supplies and services

Product Classifications

Industrial Products

Capital items are industrial products that aid in the buyer's production or operations, including installations and accessory equipment.

Materials and parts include raw materials and manufactured materials and parts usually sold directly to industrial users

Supplies and services include operating supplies(lubricants, coal, paper, pencil), repair and maintenance items(window cleaning, computer repair), and business services(legal, management consulting, advertisement)

Individual Product Decisions



The important decisions in the development and marketing of individual products and services.

Product Attributes

Product attributes are the **benefits** of the product or service

- Quality
- Features
- Style and design

Product Quality

Freedom from defects, Ability of a Product to Perform Its Functions, “Quality is when our customers come back and our products don’t”;
Includes Level(performance quality) &
Consistency(conformance quality)

Product Features

Help to Differentiate the Product from Those of the Competition

Product Style & Design

Style describes the appearance of the product
Design contributes to a product’s usefulness as well as to its looks. Product designers should think less about product attributes and technical specifications and more about how customers will use and benefit from the product.

Branding

A name, term, sign, symbol, or design, or a combination of these, **intended to identify the goods or services of one seller or group of sellers and to differentiate them from the competitors.**

Packaging

- 👉 Activity of **designing and producing the container or wrapper** for a product.
- 👉 Packaging **used to just contain and protect the product.**

Labeling

Printed information appearing on or with the package.

Performs several functions:

- Identifies product or brand
- Describes several things about the product
- Promotes the product through attractive graphics.

Product – Support Services

Companies should design its support services to **profitably meet the needs of target customers** and **gain competitive advantage**.

How?

Step1.Survey customers to **assess the value of current services** and to **obtain ideas for new services**.

Step2.**Assess costs of providing desired services.**

Step3.**Develop a package of services** to delight customers and yield profits to the company.

Product Line Decisions

A **product line** is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges

Product Line Decisions

Product line length is the number of items in the product line. A company can expand its product line in two ways:

- Line stretching (change of quality- upward, downward or both way)
- Line filling (change size or style)

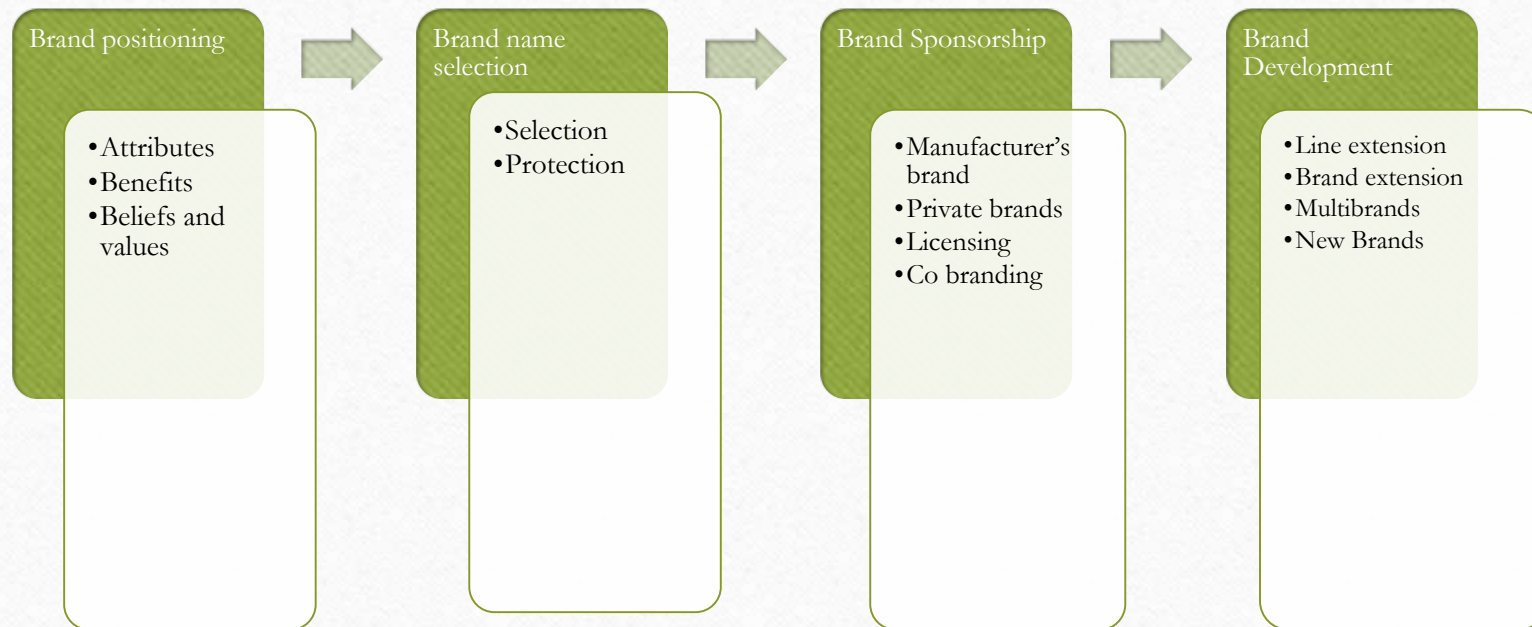
Product Line Decisions

Product mix consists of **all the products and items that a particular seller offers for sale**

- **Width** (no. of diff. product lines a company carries)
- **Length** (total no. of items the company carries within its product lines)
- **Depth** (no. of versions offered of each product in the line)
- **Consistency** (how closely related the various product lines are in end use, production requirements, distribution channels, or some other way.)

Branding Strategy: Building Strong Brands

The major brand strategy decisions involve brand positioning, brand name selection, brand sponsorship, and brand development



Brand Positioning

Companies can position brands at any of the three levels:

- Product **attributes** (pamper: absorption, fit, disposable)
- Product **benefits** (pamper: skin-health benefits from dryness, "there are fewer wet bottoms in the world because of us")
- Product **beliefs and values** (pamper: helping mom with her baby's development)

Brand Name Selection

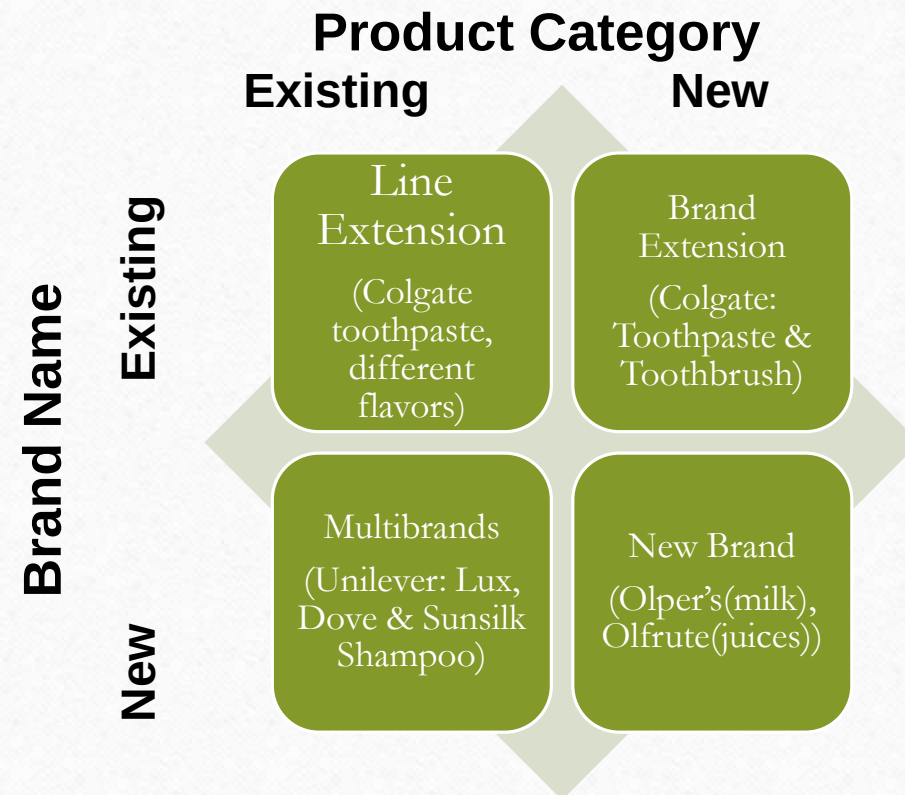
Desirable qualities

1. Suggest benefits and qualities
2. Easy to pronounce, recognize, and remember
3. Distinctive
4. Extendable
5. Translatable for the global economy
6. Capable of registration and legal protection

Brand Sponsorship

- Manufacturer's (National) brand
- Private (store) brand
- Licensed brand
- Co-brand

Brand Development Strategies



Principles of Marketing

Chapter#9

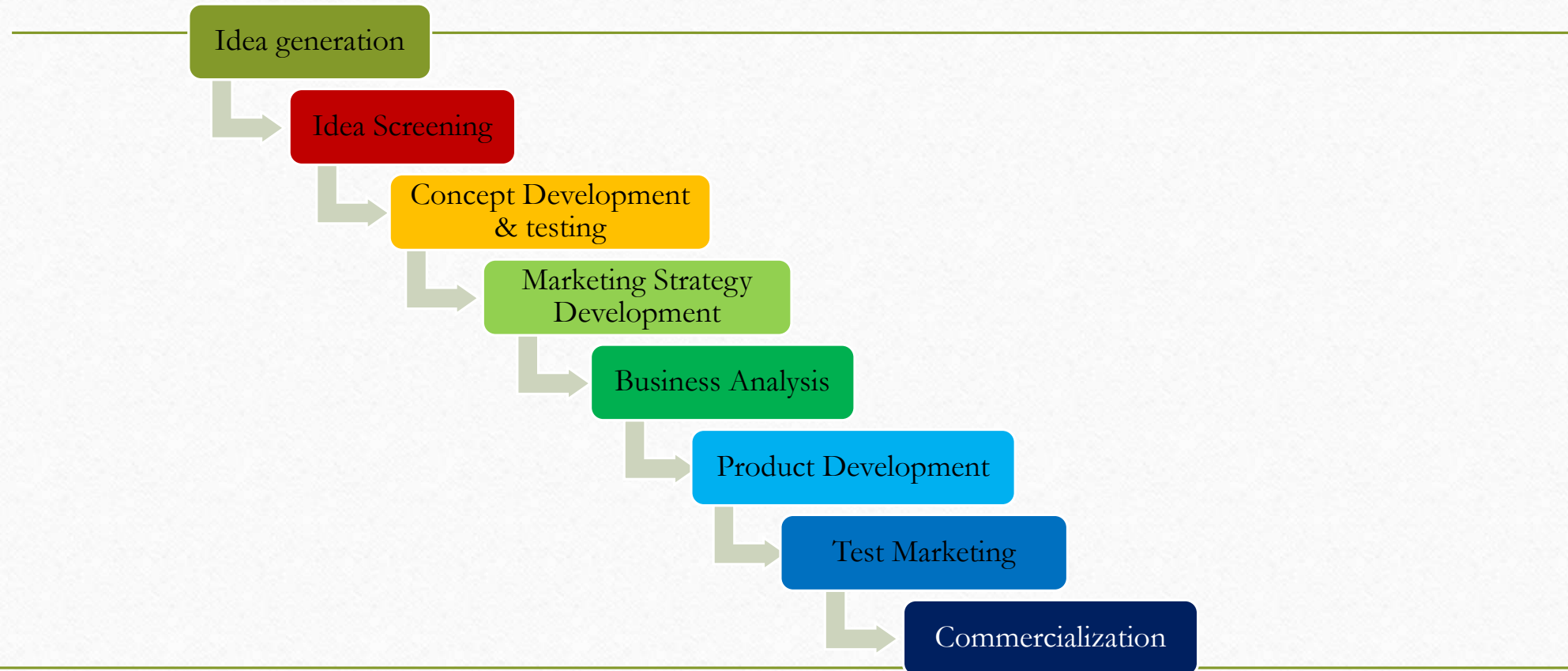
**New-Product Development and Product Life-Cycle
Strategies**

New-Product Development Strategy

Two ways to obtain new products

- ❧ **Acquisition** refers to the buying of a whole company, a patent, or a license to produce someone else's product.
- ❧ **New product development** refers to original products, product improvements, product modifications, and new brands developed from the firm's own research and development

New-Product Development Process



1. Idea Generation

Idea generation is the systematic search for new-product ideas

Sources of new-product ideas

- Internal Sources
 - R&D
 - Sales force/employees
- External Sources
 - Customers
 - Resellers
 - Suppliers
 - Competitors
 - Advertising Agencies
 - Marketing research firms

2. Idea Screening

Identify good ideas and drop poor ideas.

- R-W-W Screening Framework:
 - Is it real?
 - Can we win?
 - Is it worth doing?

3. Concept Development and Testing

Product idea is an idea for a possible product that the company can see itself offering to the market

Product concept is a detailed version of the idea stated in meaningful consumer terms

Product image is the way consumers perceive an actual or potential product

Concept testing refers to testing new-product concepts with groups of target consumers

4. Marketing Strategy Development

Marketing strategy development refers to the initial marketing strategy for introducing the product to the market

- Marketing strategy statement includes:
 - **Description of the target market**
 - The target market, product positioning, and sales, share, and profit goals for the first few years.
 - **Value proposition**
 - Product price, distribution, and marketing budget for the first year.
 - **Sales and profit goals**
 - Long-run sales and profit goals and the marketing mix strategy.

5. Business Analysis

Business analysis involves a review of the sales, costs, and profit projections to find out whether they satisfy the company's objectives.

6. Product Development

Product development involves the creation and testing of one or more physical versions by the R&D or engineering departments

- Requires an increase in investment

7. Test Marketing

Test marketing is the stage at which the product and marketing program are introduced into more realistic marketing settings.

Provides the marketer with experience in testing the product and entire marketing program before full introduction

Types of Test Marketing

1. Standard Test Marketing

- (full marketing campaign in a small number of representative cities)

2. Controlled Test Marketing

- (A few stores that have agreed to carry new products for a fee)

3. Simulated Test Marketing

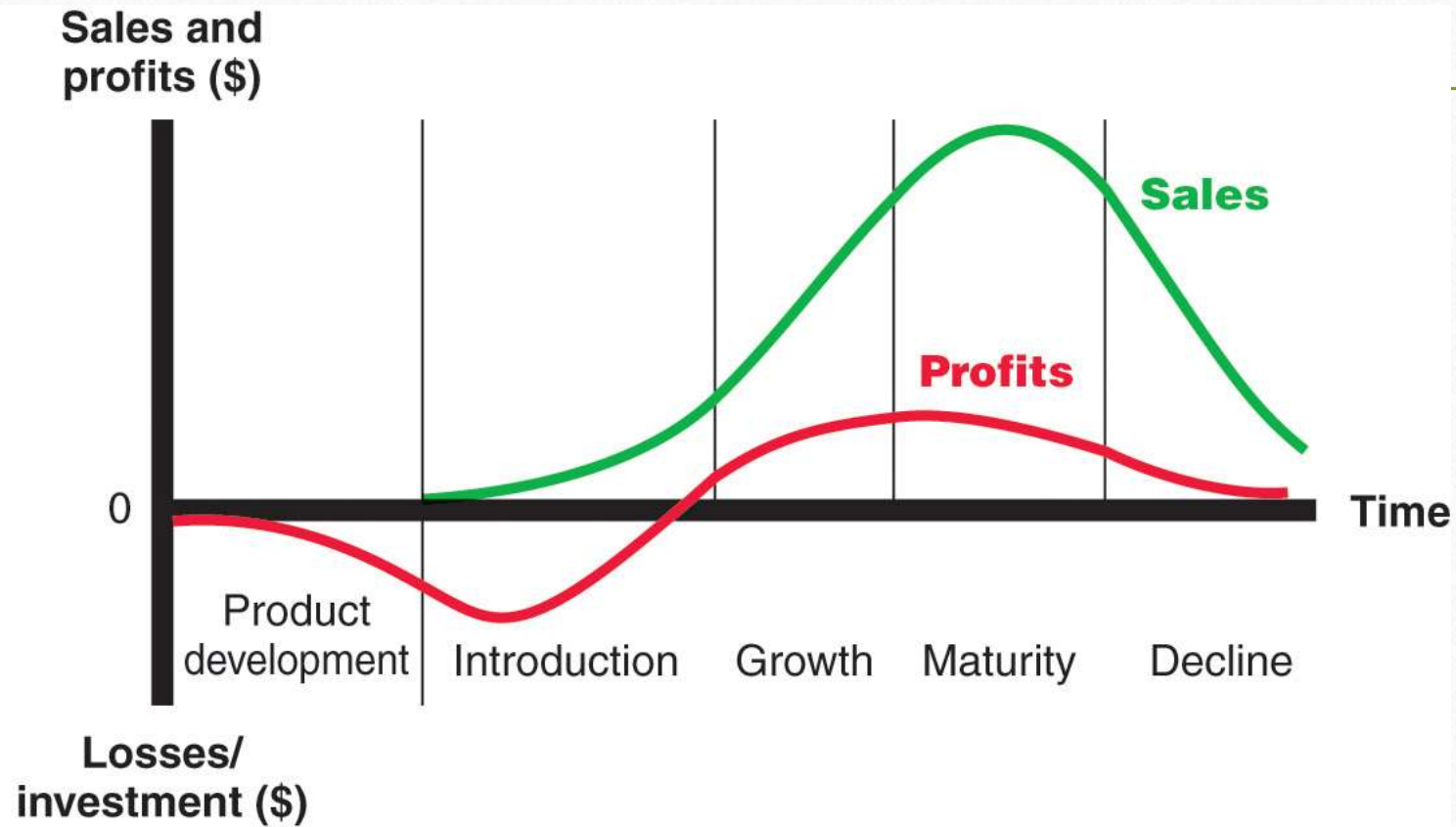
- (Test in a simulated shopping environment to a sample of consumers)

8. Commercialization

Commercialization is the introduction of the new product.

- When to launch
- Where to launch
- Planned market rollout

Product Life Cycle



PLC Stages

- ✓ Product development

Introduction

Growth

Maturity

Decline

- 👍 Begins when the company develops a new-product idea
- 👍 Sales are zero
- 👍 Investment costs are high
- 👍 Profits are negative

PLC Stages

Product development

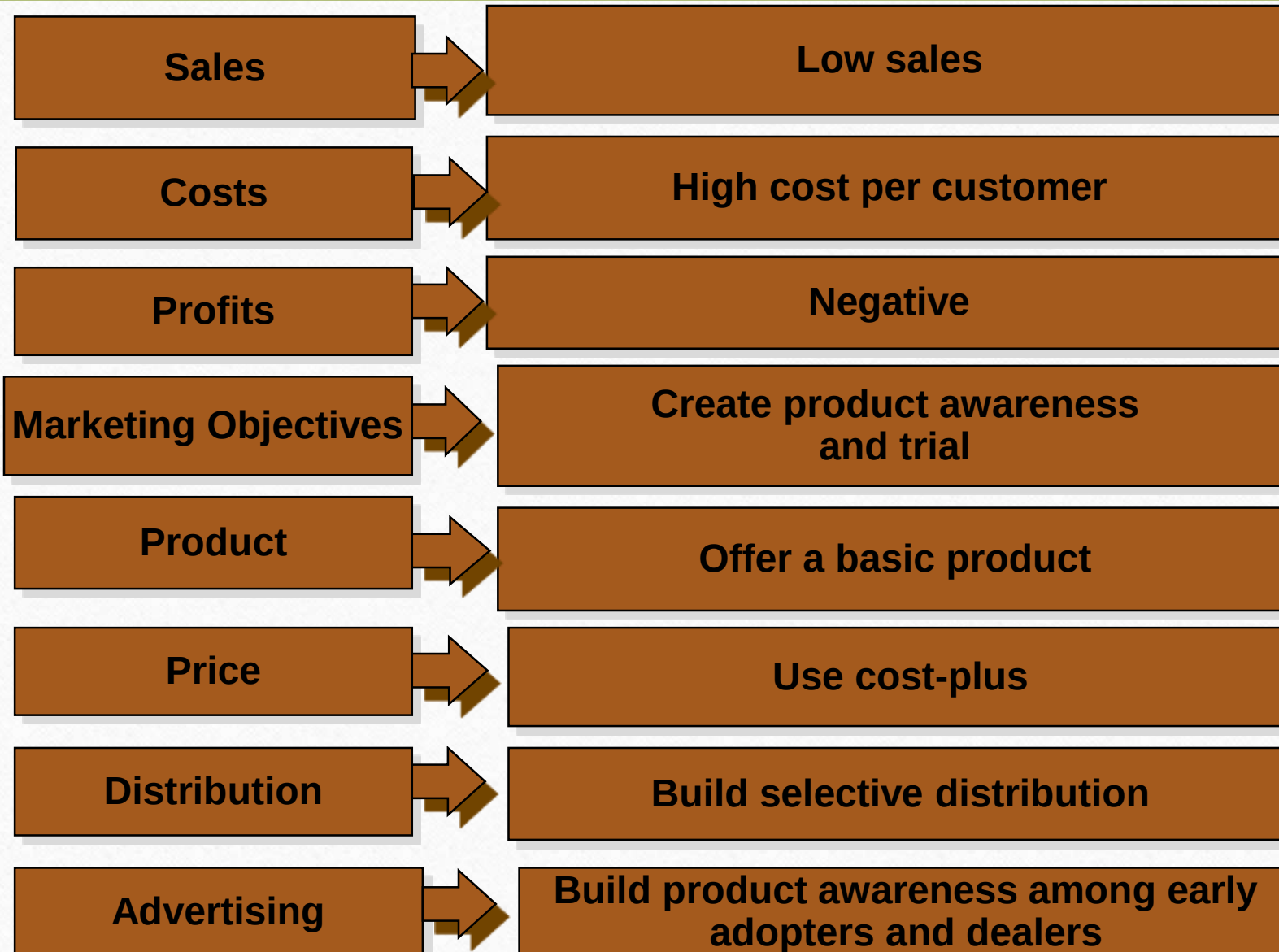
✓ Introduction

Growth

Maturity

Decline

- 👍 Low sales
- 👍 High cost per customer acquired
- 👍 Negative profits
- 👍 Innovators are targeted
- 👍 Little competition



PLC Stages

Product development

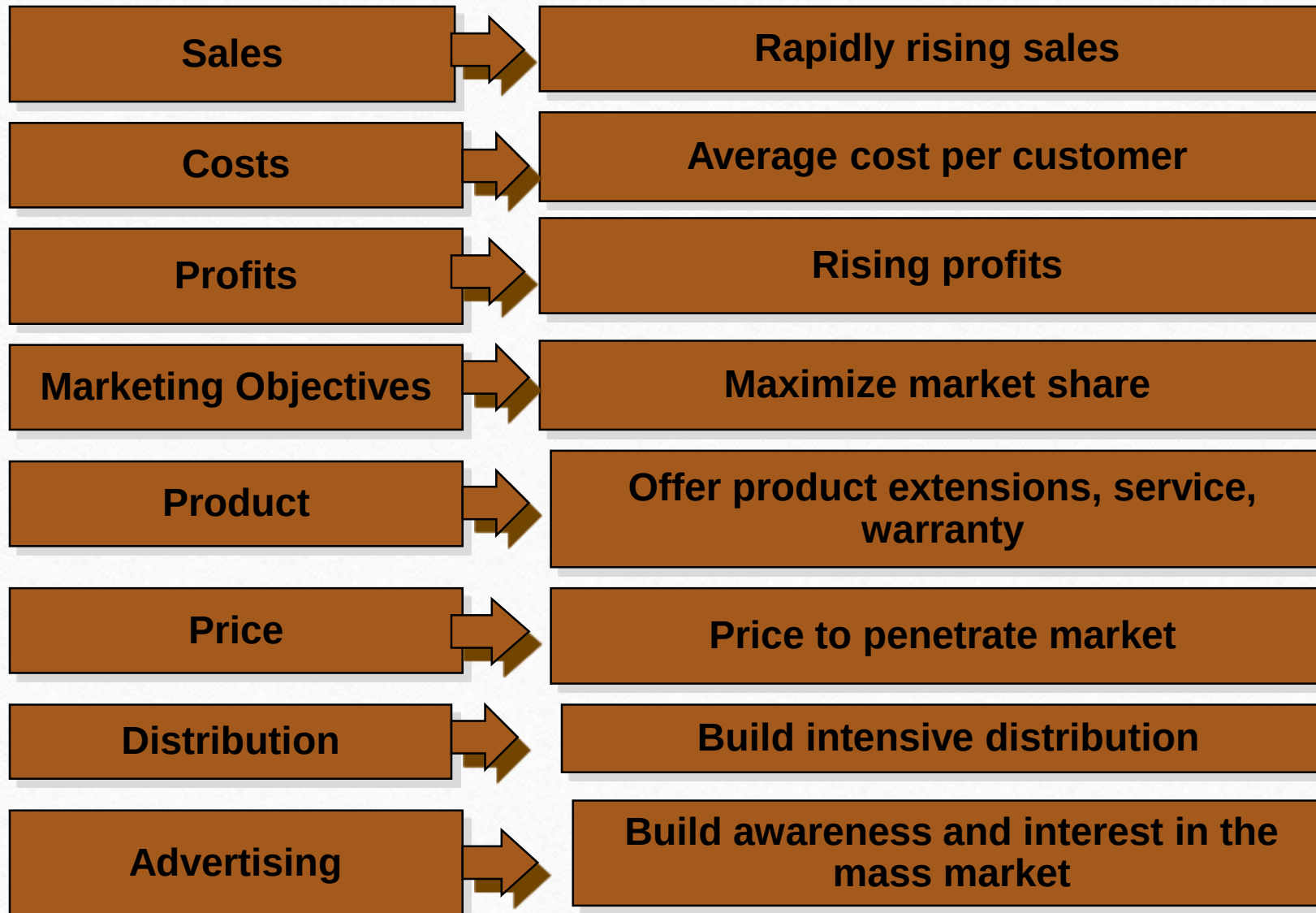
Introduction

✓ Growth

Maturity

Decline

- 👍 Rapidly rising sales
- 👍 Average cost per customer
- 👍 Rising profits
- 👍 Early adopters are targeted
- 👍 Growing competition



PLC Stages

Product development

Introduction

Growth

✓ Maturity

Decline

- 👍 Sales peak
- 👍 Low cost per customer
- 👍 High profits
- 👍 Middle majority are targeted
- 👍 Competition begins to decline

Sales



Peak sales

Costs



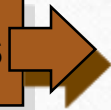
Low cost per customer

Profits



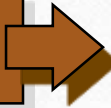
High profits

Marketing Objectives



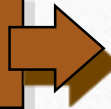
**Maximize profit while defending
market share**

Product



Diversify brand and models

Price



Price to match or best competitors

Distribution



Build more intensive distribution

Advertising



Stress brand differences and benefits

PLC Stages

Product development

Introduction

Growth

Maturity

✓ Decline

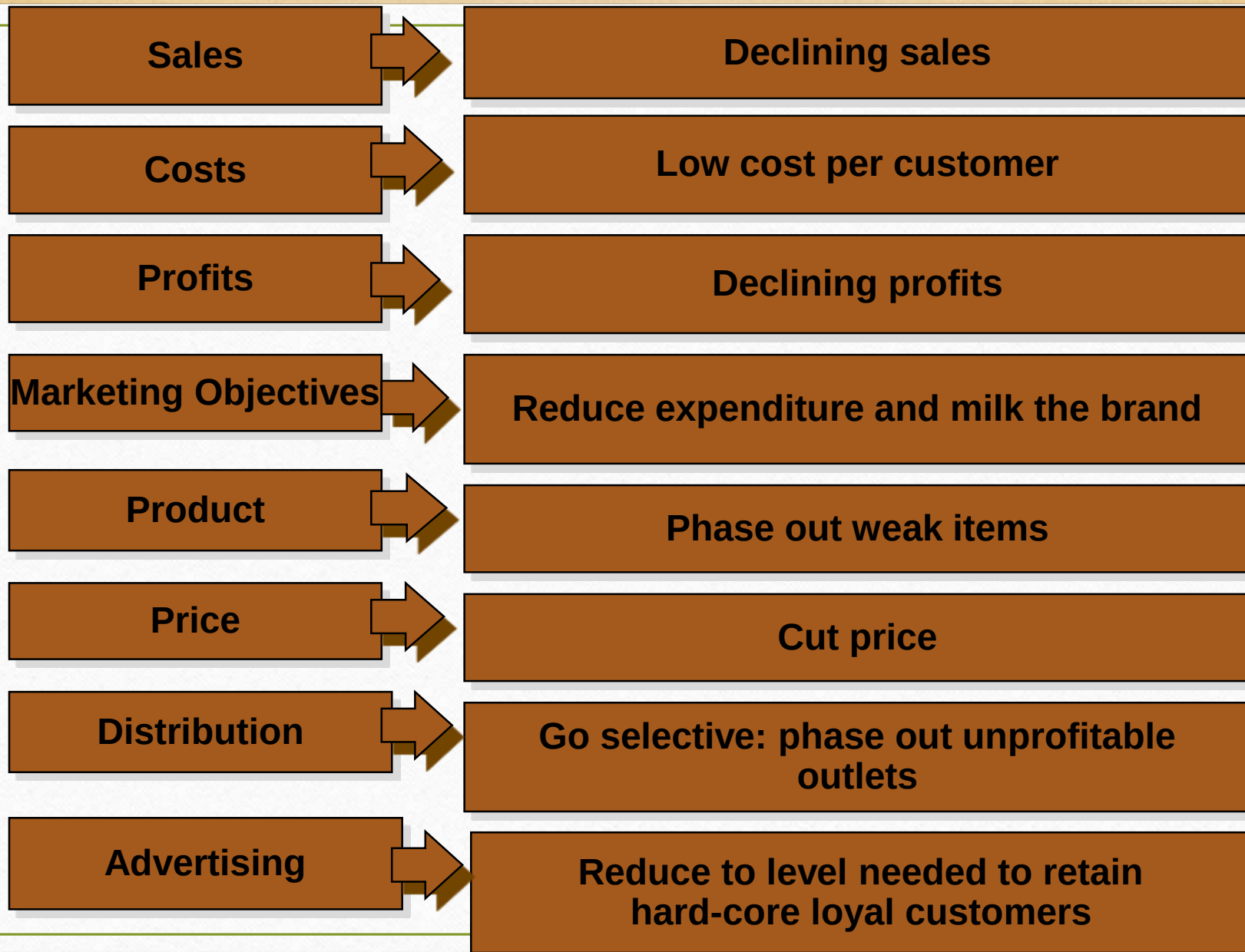
👍 Declining sales

👍 Low cost per customer

👍 Declining profits

👍 Laggards are targeted

👍 Declining competition



Principles of Marketing

Chapter#10

Pricing:

Understanding and Capturing Customer Value

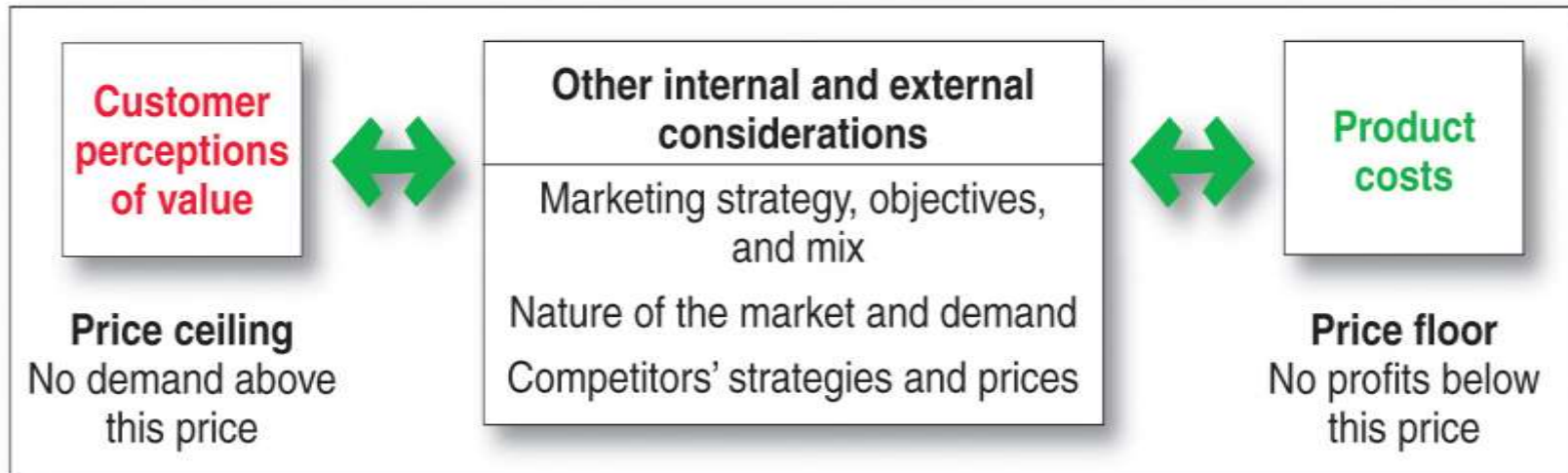
Definition

Price

The amount of money charged for a product or service, or the sum of the values that consumers exchange for the benefits of having or using the product or service.

- Price is the sum of all the values that consumers exchange for the benefits of having or using the product or service.
- Price is the only element in the marketing mix that produces revenues; all others represent costs.

Factors Affecting Price Decisions



Cost-based pricing Vs. Value-based pricing

Cost-based pricing



Value-based pricing



Value based pricing

- ❧ **Good-value pricing** offers the right combination of quality and good service at a fair price
 - ❧ Existing brands are being redesigned to offer more quality for a given price or the same quality for a lower price
- ❧ **Everyday low pricing (EDLP)** involves charging a constant everyday low price with few or no temporary price discounts
- ❧ **High-low pricing** involves charging higher prices on an everyday basis but running frequent promotions to lower prices temporarily on selected items
- ❧ **Value-added pricing** attaches value-added features and services to differentiate offers, support higher prices, and build pricing power
 - ❧ **Pricing power** is the ability to escape price competition and to justify higher prices and margins without losing market share

Internal & External factors affecting pricing decisions

Internal Factors

- ✓ Marketing Objectives
- ✓ Marketing Mix Strategy
- ✓ Costs
- ✓ Organizational considerations

Pricing Decisions

External Factors

- ✓ Nature of the market and demand
- ✓ Competition
- ✓ Other environmental factors (economy, resellers, government)

Marketing Objectives

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graph LR; A[Marketing Objectives] --- B[Survival]; A --- C[Current Profit Maximization]; A --- D[Market Share Leadership]; A --- E[Product Quality Leadership];
```

Survival

Low Prices to Cover Variable Costs and Some Fixed Costs to Stay in Business.

Current Profit Maximization

Choose the Price that Produces the Maximum Current Profit, Cash Flow or ROI.

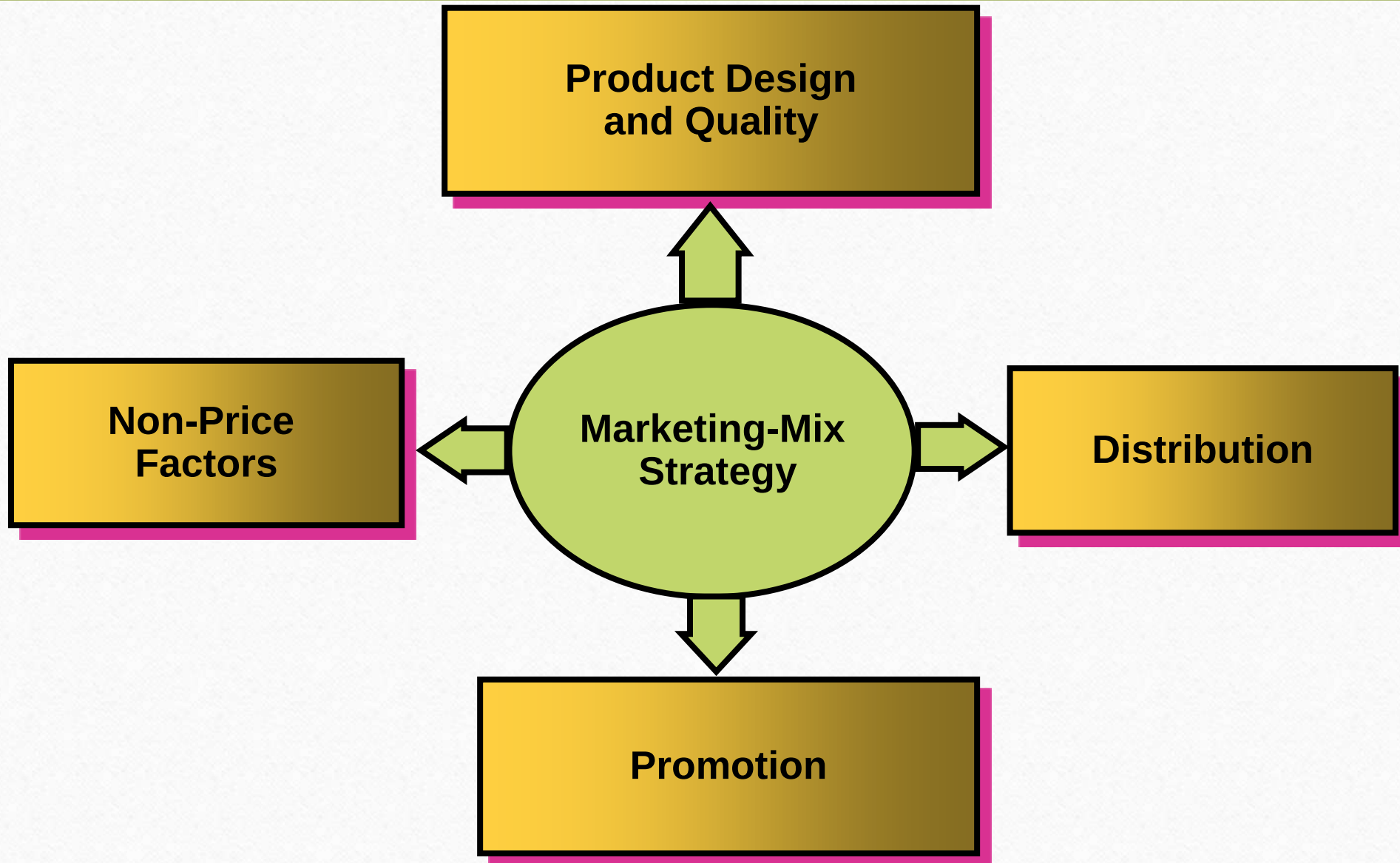
Market Share Leadership

Low as Possible Prices to Become the Market Share Leader.

Product Quality Leadership

High Prices to Cover Higher Performance Quality

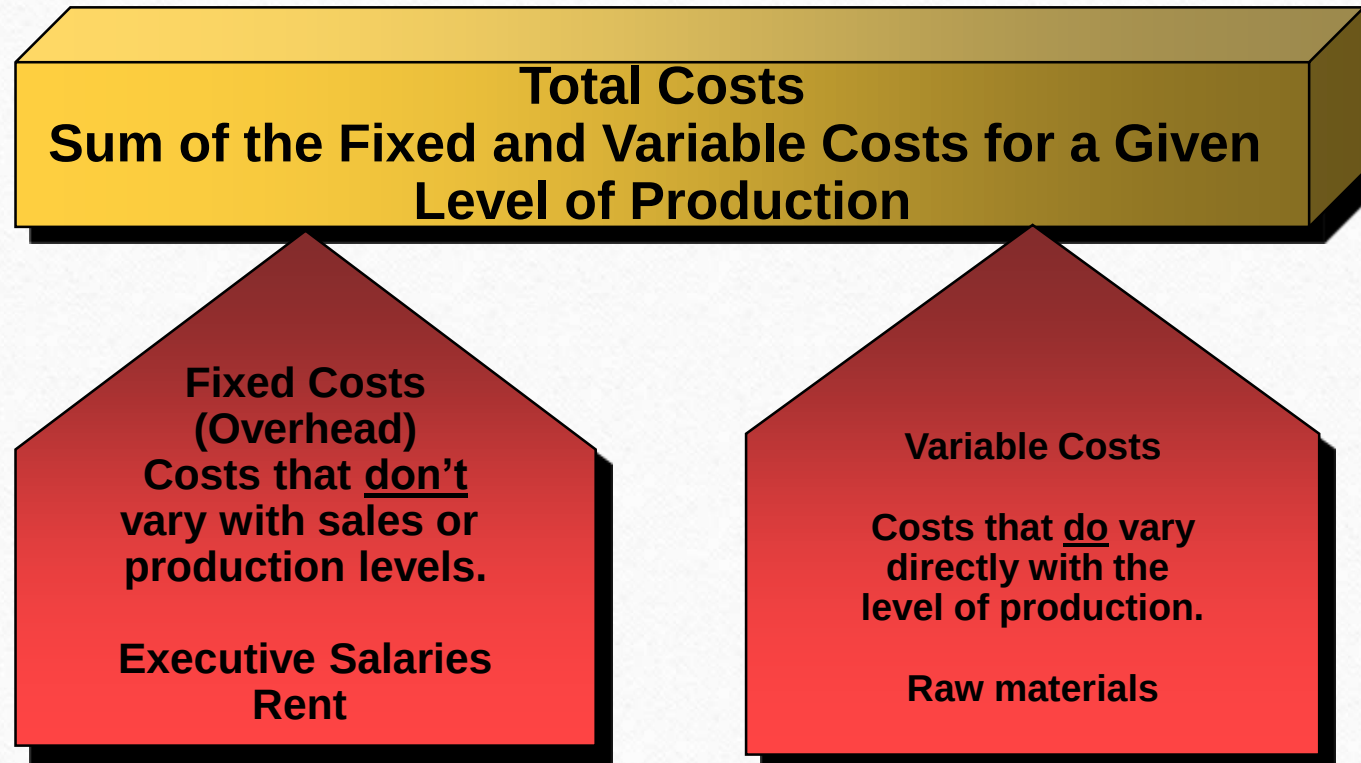
Marketing Mix Variables that Affect Pricing Decisions



Costs

- Set the floor for the price
- Cover total costs – fixed plus variable costs
 - Fixed costs
 - do not vary with production volume
 - Variable costs
 - vary directly with production volume

Types of Cost Factors that Affect Pricing Decisions



Fixed Costs

Rent

Depreciation

Manager's salaries

Property taxes

Insurance

Variable Costs

Raw materials

Component parts

Hourly wages

Packaging & freight

Sales commissions

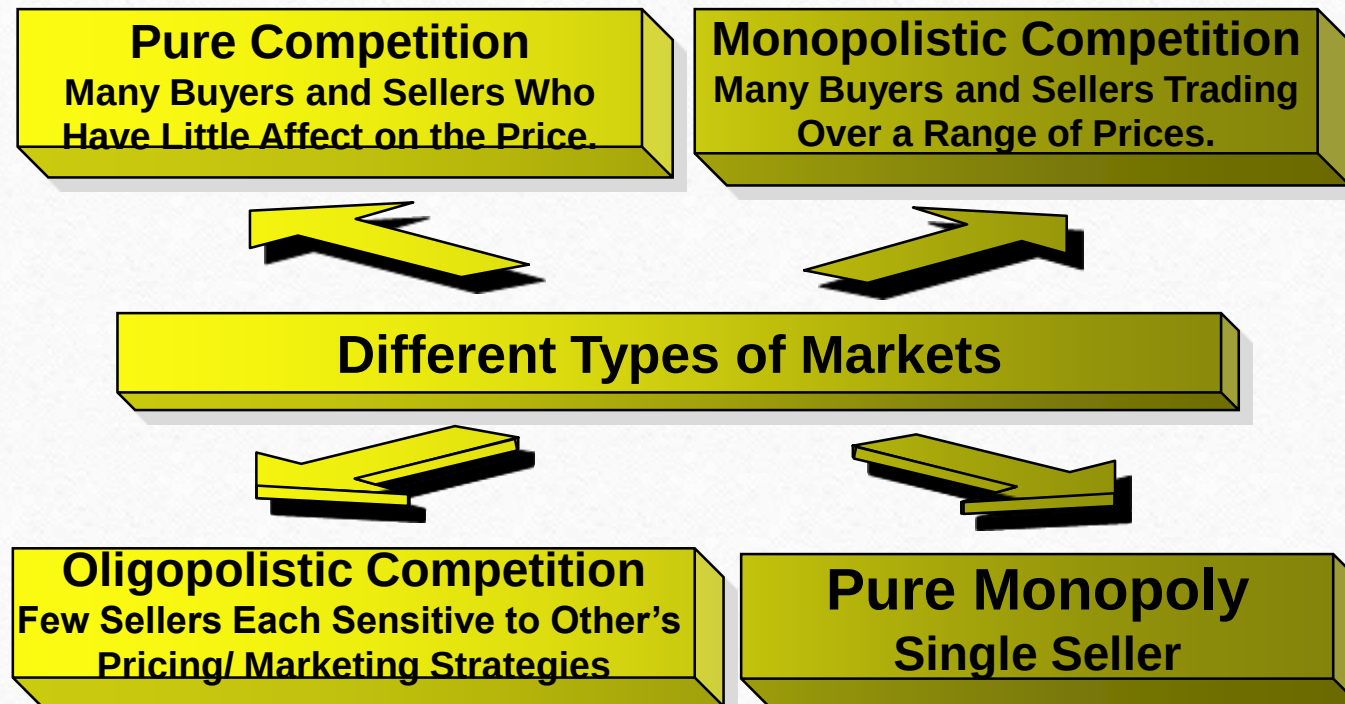
External factors affecting Pricing decisions

**Market and
Demand**

**Competitors' Costs,
Prices, and Offers**

Other External Factors
Economic Conditions
Reseller Needs
Government Actions
Social Concerns

The Market and Demand factors that affect Pricing decisions



Price-Demand Relationship

The demand curve shows the number of units the market will buy in a given period at different prices

- ❧ Normally, demand and price are inversely related
 - ❧ Higher price = lower demand
- ❧ For prestige (luxury) goods, higher price can equal higher demand when consumers perceive higher prices as higher quality

◆ **Elastic demand**

- price changes affect demand
- total revenue falls when price increases
- total revenue increases when price falls

◆ **Inelastic demand**

- price changes do not affect demand
- total revenue increases when price increases
- total revenue falls when price falls

Principles of Marketing

Chapter#11

Pricing Strategies

Pricing Strategies

Topic Outline

- ❖ New-Product Pricing Strategies
- ❖ Product Mix Pricing Strategies

New-Product Pricing Strategies

- Market-skimming pricing
- Market- penetration pricing

Market-skimming pricing

Market-skimming pricing is a strategy with high initial prices to “skim” revenue layers from the market.

- Product quality and image must support the price
- Buyers must want the product at the price
- Costs of producing the product in small volume should not cancel the advantage of higher prices
- Competitors should not be able to enter the market easily

Market- penetration pricing

Market-penetration pricing sets a low initial price in order to penetrate the market quickly and deeply to attract a large number of buyers quickly to gain market share

- Price sensitive market
- Inverse relationship of production and distribution cost to sales growth
- Low prices must keep competition out of the market

Product Mix Pricing Strategies

**Product line
pricing**

**Optional-
product
pricing**

**Captive-
product
pricing**

**By-product
pricing**

**Product
bundle
pricing**

Product line pricing

Product line pricing takes into account the cost differences between products in the line, customer evaluation of their features, and competitors' prices.

- Setting prices across an entire product line.
- In tourism hospitality industry the same category of rooms having different rates because of amenities and facilities.

Optional product pricing

Optional-product pricing takes into account optional or accessory products sold with the main product.

- Accessories (like carry bags, cooling fan) with laptops.

Captive-product pricing

Captive-product pricing involves products that must be used along with the main product.

Two-part pricing involves breaking the price into:

- Fixed fee
 - Variable usage fee
-
- Gillette often price the razor at or below cost and make the profit on the blades.

By-product pricing

By-product pricing refers to products with little or no value produced as a result of the main product. Producers will seek little or no profit other than the cost to cover storage and delivery.

- Pricing low-value by-products to get rid of them.
- Some garments manufacturers sell waste cut-pieces of cloth to car-washing industry.

Product bundle pricing

Product bundle pricing combines several products at a reduced price.

- Pricing bundles of products sold together
- Value meals at fast food restaurants

Advertisement

Important Points to Consider

Important points for video Ad Creation

Creating a successful video advertisement or campaign involves careful consideration of various factors to effectively convey your message and engage your target audience.

1. Define Your Goals

Clearly outline the objectives of your video campaign. Are you aiming to increase brand awareness, drive sales, or promote a specific product or service?

Example: Imagine you are promoting a new line of sustainable and eco-friendly clothing for a young and environmentally conscious audience.

-Goal: Increase awareness and drive sales of the new sustainable clothing line.

2. Know Your Target Audience

Understand the demographics, interests, and preferences of your target audience. Tailor your message to resonate with their needs and values.

-Target Audience: Millennials (born early 1980s – mid 1990s) and Gen Z (born mid 1990s – early 2010s) who are environmentally conscious and value sustainable fashion.

3. Craft a Compelling Story

Develop a narrative that captivates your audience. A compelling story helps create an emotional connection, making your brand more memorable.

-Story: Follow the journey of a young individual embracing a sustainable lifestyle and feeling empowered by wearing eco-friendly clothing.

4. Focus on the First Few Seconds

Capture attention quickly. The first few seconds of your video are crucial, so make sure they are attention-grabbing to prevent viewers from scrolling past.

-Opening Scene: Show a captivating image of the sustainable clothing line with text overlay, "Fashion that Cares."

5. Keep it Concise

Attention spans are short, so keep your video short and to the point. Aim for a length that conveys your message effectively without losing viewer interest.

-Video Length: 30 seconds, highlighting key features and benefits of the clothing line.

6. Highlight Unique Selling Proposition (USP)

Clearly communicate what sets your product or service apart from the competition. Highlight your unique selling points to make a lasting impression.

-USP: Emphasize the use of organic materials, eco-friendly manufacturing, and the positive impact on the environment

7. Brand Consistency

Maintain a consistent brand image, including visuals, messaging, and tone. Consistency helps build brand recognition and trust.

-Visuals: Use a consistent color palette and logo placement throughout the video for brand recognition.

8. Optimize for Mobile Viewing

Many users watch videos on mobile devices. Ensure your video is optimized for various screen sizes and orientations to provide a seamless viewing experience.

-Format: Ensure the video is formatted for mobile screens, considering vertical and square video options.

9. Incorporate Call-to-Action (CTA)

Clearly state what action you want viewers to take after watching the video. Whether it's making a purchase, visiting a website, or subscribing, include a compelling call-to-action.

-CTA: "Shop Now for a Sustainable Wardrobe" with a link to the online store.

10. Choose the Right Platform

Tailor your video to the platform where it will be displayed. Consider the platform's audience, format specifications, and overall culture.

- Platform: Optimize the video for Instagram, leveraging its visual appeal and targeting a younger audience.

11. Use High-Quality Visuals and Audio

Invest in high-quality production values. Clear visuals and audio contribute to a professional appearance and enhance the overall viewing experience.

- Visuals: Showcase the clothing with high-quality videography and images.
- Audio: Use a catchy, environmentally themed soundtrack to enhance the video.

12. Test and Iterate

Before launching a full-scale campaign, conduct small-scale tests to gauge audience response. Use analytics to measure performance and make data-driven improvements.

- Conduct A/B testing with different video thumbnails or captions to see which version performs better before a full campaign launch.

13. Optimize for SEO

If your video will be shared online, optimize it for search engines. Use relevant keywords in titles, descriptions, and tags to improve discoverability.

- Use keywords like "sustainable fashion," "eco-friendly clothing," and the brand name in the video title, description, and tags.

14. Comply with Regulations

Ensure your video complies with advertising regulations and guidelines. Be transparent about sponsored content, and respect privacy and copyright laws.

- Clearly state if the content is sponsored and ensure compliance with advertising standards regarding environmental claims.

15. Engage with Your Audience

Encourage comments, shares, and other forms of engagement. Respond to audience feedback to build a community around your brand.

- Encourage viewers to share their thoughts on sustainable fashion in the comments. Respond to comments and create a sense of community.

AIDA Model Example

- Many companies adopt the **AIDA strategy** to guarantee a successful advertisement. Following is an example of how Netflix follows the AIDA model:
- **Attention:** To make customers aware of their offered products, Netflix uses different communication channels like YouTube ads and Internet Service collaborations.
- **Interest:** Once the customer becomes interested and visits Netflix's website, the company offers free monthly trials for visitors to test and explore available TV shows, movies and so on.
- **Desire:** The desire to subscribe to the services of Netflix is created by personalized recommendations, support of devices with low-speed, content offered without ads and more.
- **Action:** By providing a wide range of subscription plans and the option to cancel it, Netflix pushes the visitor to become a paying customer.

Marketing Communication

Promotional Tools

The Promotion Mix

The promotion mix is the specific blend of advertising, public relations, personal selling, and direct-marketing tools that the company uses to persuasively communicate customer value and build customer relationships

Major Promotion Tools



Advertising

- **Definition:** Advertising involves paid, non-personal communication through various media channels to promote a product, service, or brand.
- **Purpose:** To create awareness, generate interest, and persuade the target audience.

Sales promotion

- **Definition:** Sales promotion includes short-term incentives, discounts, contests, and other activities designed to stimulate immediate sales.
- **Purpose:** To encourage purchasing and create a sense of urgency among consumers.

Public Relations

- **Definition:** Public relations involves managing the relationship between an organization and its publics, including customers, employees, investors, and the general public.
- **Purpose:** To build and maintain a positive image, handle crises, and establish a favorable perception of the company.

Personal Selling

- **Definition:** Personal selling is a face-to-face or direct communication method where a salesperson interacts with potential buyers to persuade them to make a purchase.
- **Purpose:** To build relationships, address specific customer needs, and guide the customer through the buying process.

Direct Marketing

- **Definition:** Direct marketing involves communicating directly with individual customers through various channels such as mail, email, phone, or online platforms.
- **Purpose:** To establish a direct connection with customers, promote products or services, and encourage immediate responses.

Steps in Developing Effective Marketing Communication

Identify the target audience

Determine the communication objectives

Design the message

Choose the media

Select the message source



Message Design

- **Message Content** is about the substance of the information conveyed in the advertisement, including key selling points and relevant details.
- **Message Structure** involves the organization and arrangement of elements within the ad, ensuring a logical flow and engagement for the audience.
- **Message Format** pertains to the visual design and layout of the ad, influencing its overall aesthetic appeal and visual identity.

Rational Appeal

- **Definition:** Rational appeal, also known as logical or cognitive appeal, focuses on presenting logical arguments, features, and benefits to persuade the audience. It aims to appeal to the consumer's intellect and reasoning.
- **Example:** A car advertisement highlighting fuel efficiency, safety features, and advanced technology to appeal to consumers who make decisions based on facts and practical considerations.

Moral Appeal

- **Definition:** Moral appeal involves using ethical or moral values to persuade the audience. It often taps into the viewer's sense of right and wrong, promoting a sense of responsibility or social conscience.
- **Example:** An advertisement for a charitable organization showcasing the impact of donations on improving the lives of underprivileged children. The message appeals to the viewer's sense of empathy and moral duty to help those in need.

Emotional Appeal

- **Definition:** Emotional appeal aims to evoke specific emotions in the audience, such as joy, fear, love, or nostalgia. This approach is powerful because emotional responses can strongly influence decision-making.
- **Example:** An athletic shoe commercial featuring individuals overcoming challenges, pushing their limits, and achieving success. The emotional appeal here is a sense of pride and accomplishment associated with the brand.

Principles of Marketing

Chapter#12

Marketing Channels: Delivering Customer Value

Supply Chains and the Value Delivery Network

Supply Chain Partners

- **Upstream partners** include raw material suppliers, components, parts, information, finances, and expertise to create a product or service
- **Downstream partners** include the marketing channels or distribution channels that look toward the customer

Marketing channel (Definition)

- A marketing channel (or distribution channel) is a set of independent organizations **that help make a product or service available** for use or consumption by the consumer or business user.

The Nature and Importance of Marketing Channels

How Channel Members Add Value

- **Intermediaries** offer producers greater efficiency in making goods available to target markets. Through their contacts, experience, specialization, and scale of operations, intermediaries usually offer the firm more than it can achieve on its own.
- From an economic view, intermediaries transform the assortment of products into assortments wanted by consumers
- In making products and services available to consumers, channel members add value by bridging the major time, place, and possession gaps that separate goods and services from those who would use them

Channel Design Decisions



1. Analyzing Consumer Needs

- Do customers want to buy from nearby locations or are they willing to travel to more distant centralized locations?
- Would they rather buy in person, by phone, or online?
- Do they value breadth of assortment or do they prefer specialization?
- Do consumer want many add-on services (delivery, repair, installation), or will they obtain these elsewhere?

2. Setting Channel Objectives

Companies should state their marketing channel objectives in terms of:

- Targeted levels of customer service
- What segments to serve (out of several segments wanting different levels of services)
- Best channels to use
- Minimizing the cost of meeting customer-service requirements

2. Setting Channel Objectives

Companies channel objectives are also influenced by:

- Nature of the company
- Its products
- Its marketing intermediaries
- Its competitors
- The environmet

3. Identifying Major Alternatives

After defining channel objectives, the company should identify its major channel alternatives in term of

- Types of intermediaries
- Number of marketing intermediaries
- Responsibilities of channel members

Identifying Major Alternatives

Intensive distribution

- Candy and toothpaste

Exclusive distribution

- Luxury automobiles and prestige clothing

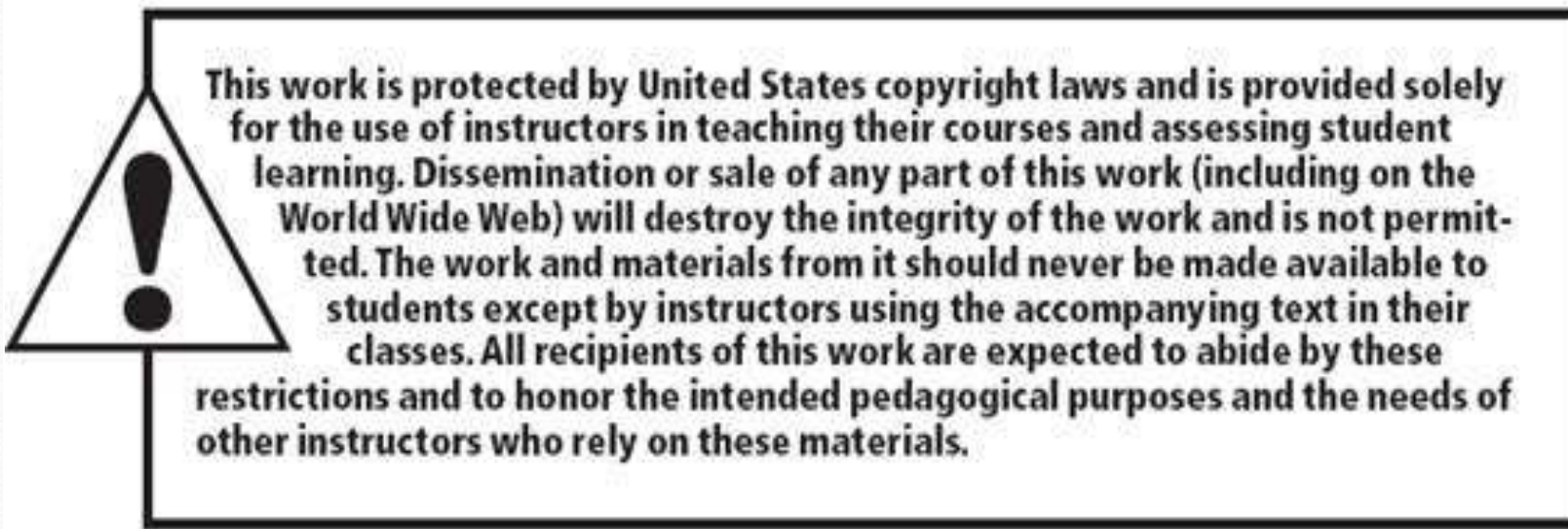
Selective distribution

- Television and home appliance

4. Evaluating the Major Alternatives

Each alternative should be evaluated against:

- Economic criteria
- Control
- Adaptive criteria



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